U.S. Small Business Administration

Boots to Business Module 4

The Economics of Small Business Start-up

Version 5.0

Objective

Understand the foundation for the cost, price, volume relationship, as it informs profit potential and sustainability for the planned venture.

Agenda

- Economic Model of a Business
- Revenues
- Volumes
- Margins
- Operating Leverage
- Implications for Risk

Why This is Important

Business Model

How the business *creates and delivers value* to the customer

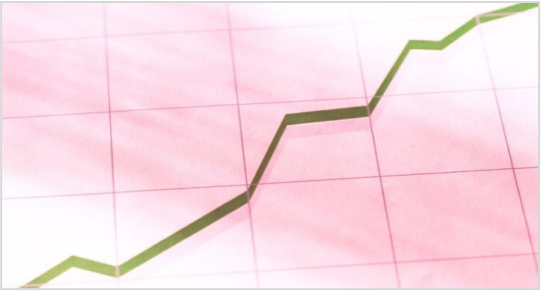
Economic Model

How the business *captures that value* in the form of an economic return

Why This is Important

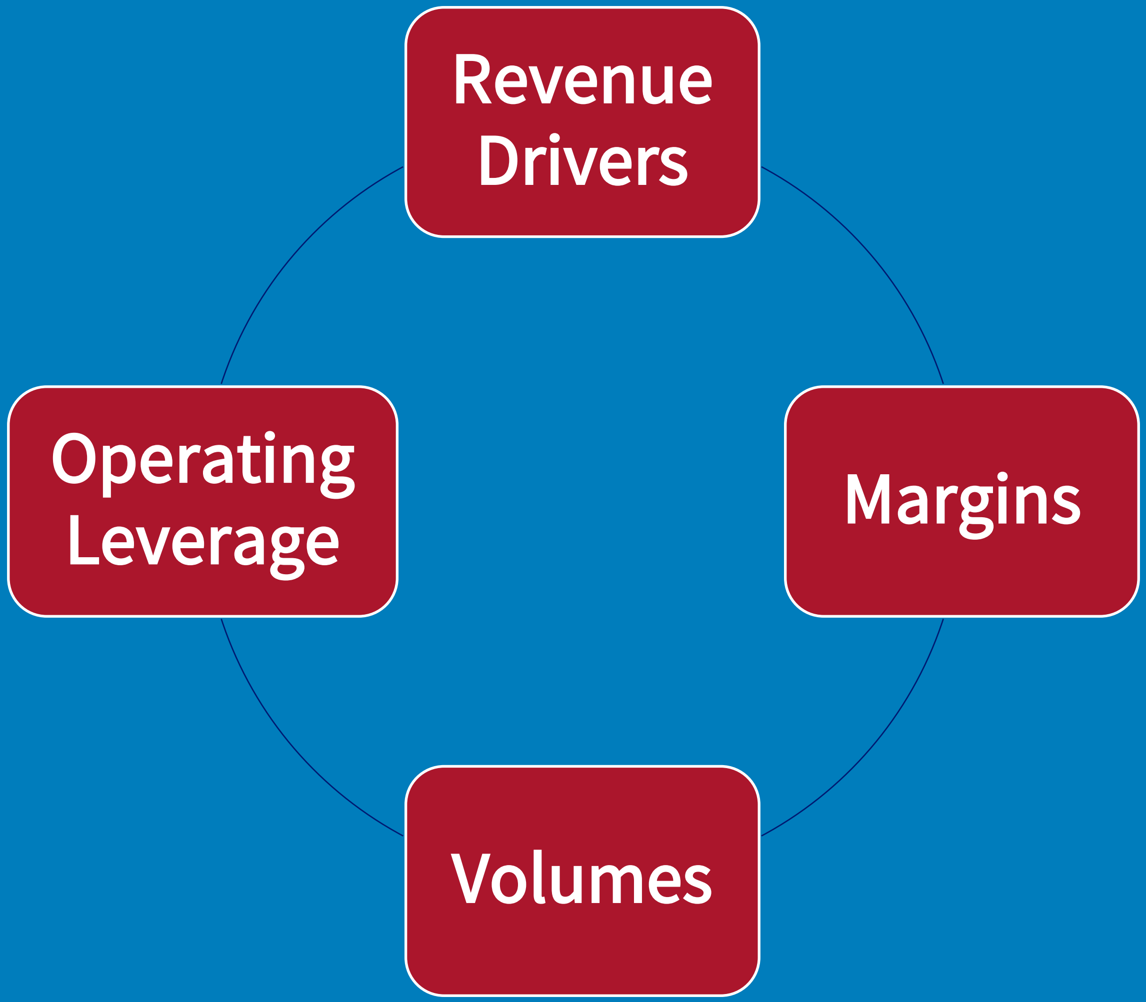
Benefits of understanding your economic model

- Helps build a sustainable competitive advantage
- Informs your management decisions
- Provides stability and consistency



Are we *making* money or *moving* money?

Economic Model of a Business



Revenue Drivers

- How many ways does your company have to earn money?
- One source or several?
- Implications for risk?
- Is this a competitive advantage?
- Or a disadvantage?

Example in Practice

Business Model

Economic Model

Example

Porsche Taycan -- $91K

Nissan Versa -- $16K

What does this mean for the economic model?

Margins

Difference between *Price and Cost*

- What *price* do you charge for your product or service?
- How much does it *cost* you to deliver that single unit of product or service?
- Does the difference between the price you charge and the cost of production provide adequate cash to cover fixed operating expenses and generate a profit?

Example

What does this mean for the economic model?

Volume

The number of units of product or service you are selling or providing.

- Is generally meaningless unless you discuss it along with margin
- High volume alone is meaningless unless you keep something from each sale (margin)

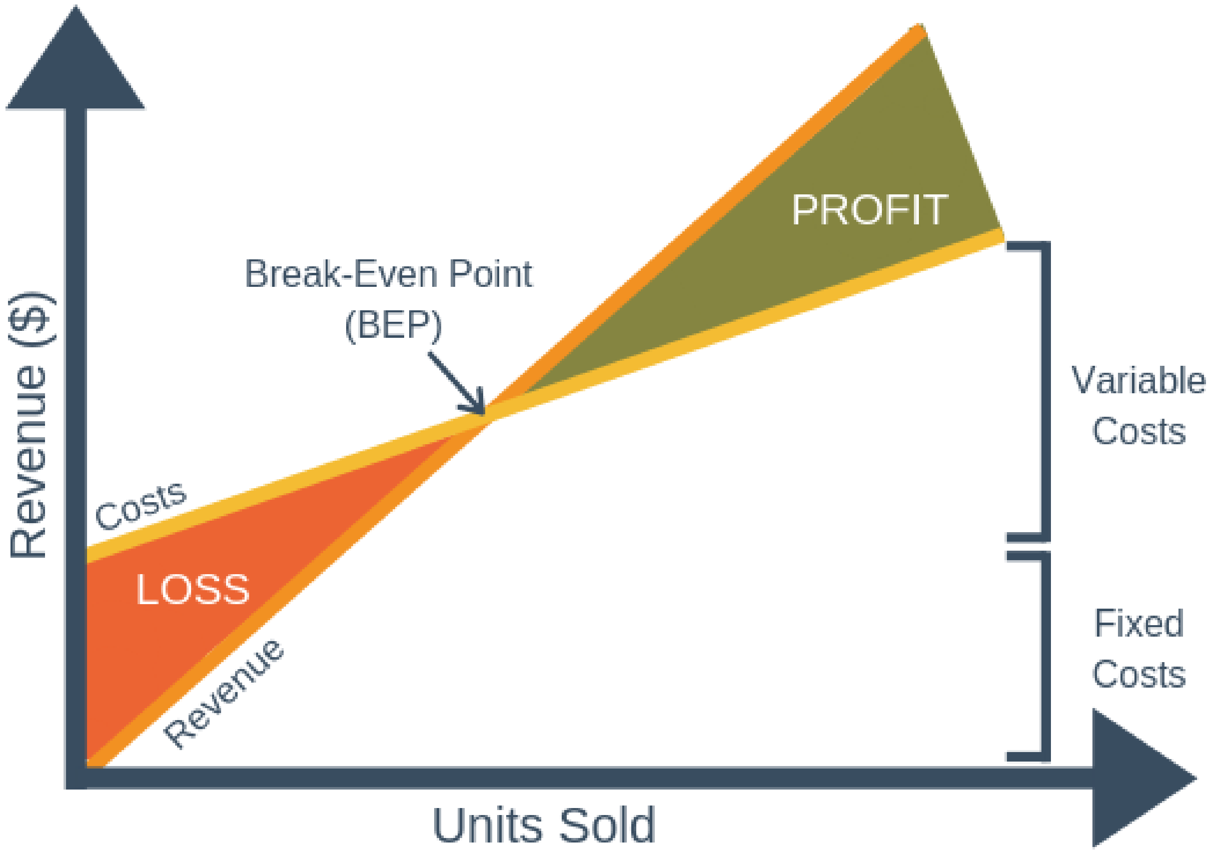
Variable Costs

- Change in direct relation to your revenue
  - What does it actually cost to deliver one unit of whatever you do?
- Direct labor, payroll taxes and costs per employee (CPEs), mileage, packaging, unit transport or delivery, raw materials
- *Variable* does not = *optional*

Fixed Costs

- Expenses you have to pay no matter what sales you generate
- Remain the same over a given period of time
- Include rent, brick and mortar location, salaries (not hourly pay), advertising, insurance, write-off of equipment
- What do you think about utility bills?
  - Are they variable or fixed?

Breakeven



Definition: The volume of sales revenue needed to cover all of your costs over a given period of time.

Example

What does this mean for the economic model?

Economic Model for Giddy Up Coffee

Giddy Up Coffee - Sales (Per Month)		
Price Per Cup	$ 2.00	
Volume (Units Sold)	3,200.00	
Revenue (Total Sales)		$ 6,400.00
Variable Costs		
Food Costs	$ 0.50	
Cup	$ 0.05	
Other Supplies	$ 0.10	
Variable Costs Per Unit	$ 0.65	
Total Variable Costs		$ 2,080.00
Per Cup Margin	$ 1.35	
Gross Margin		$ 4,320.00
Fixed Costs (Per Month)		
Rental Space	$ 1,200.00	
Cart Lease Payment	$ 750.00	
Transportation & Utilities	$ 625.00	
Insurance	$ 450.00	
Other Fixed Costs	$ 1,295.00	
Total Fixed Costs		$ 4,320.00
Net Profit		$ -

- Breakeven
- Profit is Zero

Increased Sales

Giddy Up Coffee - Sales (Per Month)		
Price Per Cup	$ 2.00	
Volume (Units Sold)	4,000.00	
Revenue (Total Sales)		$ 8,000.00
Variable Costs		
Food Costs	$ 0.50	
Cup	$ 0.05	
Other Supplies	$ 0.10	
Variable Costs Per Unit	$ 0.65	
Total Variable Costs		$ 2,600.00
Per Cup Margin	$ 1.35	
Gross Margin		$ 5,400.00
Fixed Costs (Per Month)		
Rental Space	$ 1,200.00	
Cart Lease Payment	$ 750.00	
Transportation & Utilities	$ 625.00	
Insurance	$ 450.00	
Other Fixed Costs	$ 1,295.00	
Total Fixed Costs		$ 4,320.00
Net Profit		$ 1,080.00

- Increase Volume (Sales)
- 800 cups over Breakeven
- Get to keep $1.35 Margin for additional 800 cups sold
- Making a Profit!

Improve Margin

Giddy Up Coffee - Sales (Per Month)		
Price Per Cup	$ 2.25	
Volume (Units Sold)	4,000.00	
Revenue (Total Sales)		$ 9,000.00
Variable Costs		
Food Costs	$ 0.48	
Cup	$ 0.04	
Other Supplies	$ 0.08	
Variable Costs Per Unit	$ 0.60	
Total Variable Costs		$ 2,400.00
Per Cup Margin	$ 1.65	
Gross Margin		$ 6,600.00
Fixed Costs (Per Month)		
Rental Space	$ 1,200.00	
Cart Lease Payment	$ 750.00	
Transportation & Utilities	$ 625.00	
Insurance	$ 450.00	
Other Fixed Costs	$ 1,295.00	
Total Fixed Costs		$ 4,320.00
Net Profit		$ 2,280.00

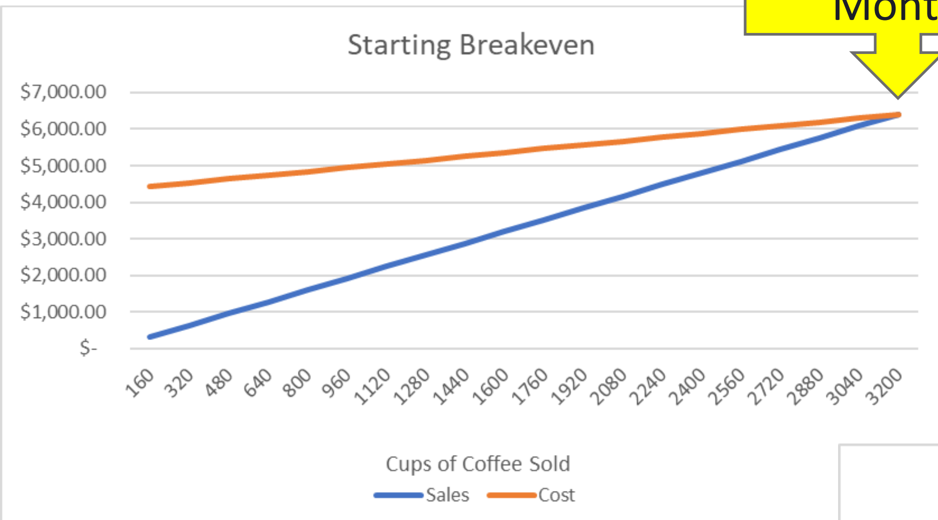
- Increase Price
- Decrease Variable Cost by Negotiating with Vendors or getting new ones
- Margin increases per cup
- Increases profit by $1200 without selling more cups!

Decrease Fixed Costs

Giddy Up Coffee - Sales (Per Month)		
Price Per Cup	$ 2.25	
Volume (Units Sold)	4,000.00	
Revenue (Total Sales)		$ 9,000.00
Variable Costs		
Food Costs	$ 0.48	
Cup	$ 0.04	
Other Supplies	$ 0.08	
Variable Costs Per Unit	$ 0.60	
Total Variable Costs		$ 2,400.00
Per Cup Margin	$ 1.65	
Gross Margin		$ 6,600.00
Fixed Costs (Per Month)		
Rental Space	$ 1,200.00	
Cart Lease Payment	$ -	
Transportation & Utilities	$ 625.00	
Insurance	$ 450.00	
Other Fixed Costs	$ 1,295.00	
Total Fixed Costs		$ 3,570.00
Net Profit		$ 3,030.00

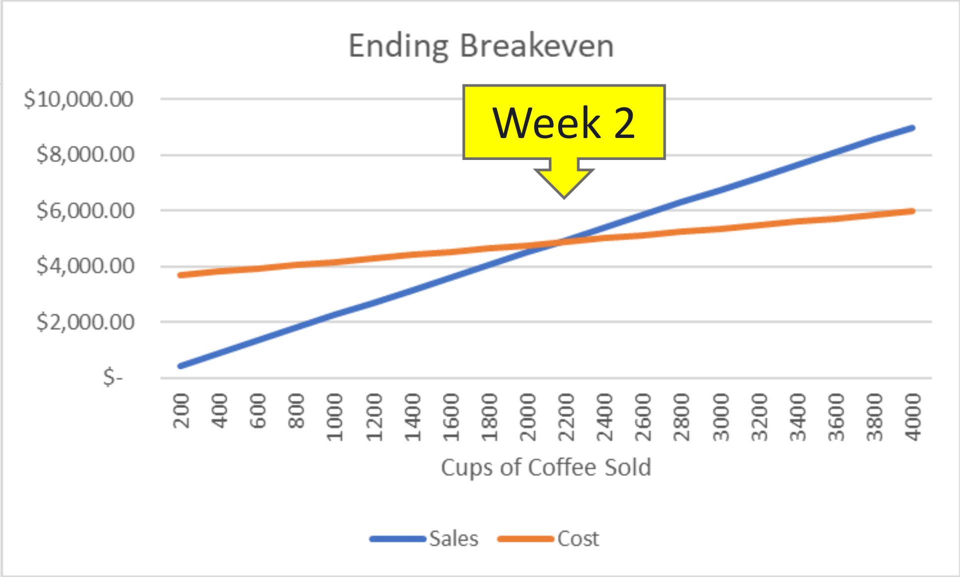
- Bought Used Cart
- No more Cart Lease Payments @ $750/mo.
- Increases Profits
- Breakeven is now 2164 cups – almost 1000 cups less!

Understanding Your Numbers is Important!



Last Day of Month

Breakeven when we started was 3200 cups and occurred Last Day of the month



Week 2

Increase Volume, Price
Decrease Variable and Fixed Cost
Breakeven is end of Week 2

Operating Leverage

Operating Leverage is the relationship between variable costs and fixed costs.

- Higher fixed cost model = high operating leverage
- Higher variable cost model = low operating leverage

What is the difference between variable and fixed costs?

Implications of Operating Leverage

Higher fixed costs (higher operating leverage)	Lower fixed costs (low operating leverage)
• Greater risk • It takes more units of service each month to breakeven • But, once you get to breakeven, you make a lot more money	• Less risk • It takes less units of a service or product each month to breakeven

Before you open your doors, ask yourself

1. How will I generate sales dollars/revenue?
2. What are my total sales-related costs to do that?
3. What are my fixed/operating costs to run my business for a given period of time?
4. How much sales revenue must I generate to cover ALL my costs, so I begin to show a net profit?
5. Based on my research and analysis, can I generate the needed sales dollars and manage to these expenses in my proposed business venture to actually have a sustainable and profitable business?

Key Takeaways

REVENUE DRIVERS: How many ways do you have to generate sales revenue? Does the number of revenue drivers increase or decrease your risk?

MARGINS: What is left over after each unit of sale to pay fixed costs? What percentage of sales is that? When do you break even?

VOLUMES: How many units do you sell each period? Is it enough to exceed breakeven? Is there enough sales volume to make your business profitable and worthwhile?

OPERATING LEVERAGE: New businesses will need to maintain a low operating leverage (high variable cost) model to manage risk and maintain liquidity.

Filling In YOUR Business Model Canvas…

BOOTS to BUSINESS
from the U.S. Small Business Administration

KEY PARTNERS Who are your key partners?	KEY ACTIVITIES What are the activities you perform every day to deliver your value proposition? KEY RESOURCES What are the resources you need to deliver your value proposition?	VALUE PROPOSITION What is the value you deliver to your customer? What is the customer need that your value proposition addresses? *Lorem ipsum dolor sit amet, consectetur adipiscing elit, sed do eiusmod tempor incididunt ut labore et dolore magna aliqua.*	CUSTOMER RELATIONSHIPS What relationship does each customer segment expect you to establish and maintain? *Lorem ipsum dolor sit amet, consectetur adipiscing elit..* CHANNELS How do your customer segments want to be reached? *Lorem ipsum dolor sit amet, consectetur adipiscing elit..*	CUSTOMER SEGMENTS Who are your customers? *Lorem ipsum dolor sit amet, consectetur adipiscing elit, sed do eiusmod tempor incididunt ut labore et dolore magna aliqua.*

COST STRUCTURE	REVENUE STREAMS
What are the important costs you make to deliver the value proposition?	How do customers reward you for the value you provide to them?

Fill in this section of BMC in student workbook

You completed in an earlier module

Strategyzer
strategyzer.com

Questions & Discussion